

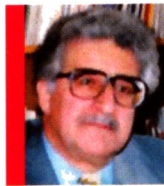
cover story THE NEW RUSSIA



VIKTOR A. SADOVNICHY

Rector, Moscow State University

"Economic players complain they do not have adequate specialists to man the Russian industries."



NODARI A. SIMONIA

Director, Centre for Energy Studies

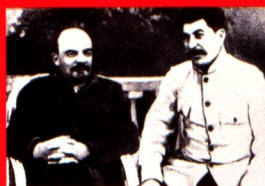
"We must not play the catch-up game. We have no talent for making cars but we have the brains for IT."

RUSSIA The Old and the New

AFTER THE BREAK-UP OF THE USSR, THE CHAOS THAT FOLLOWED ALMOST DESTROYED THE NEW FEDERATION. BUT PUTIN'S EIGHT-YEAR TENURE AS PRESIDENT LED TO THE RESURRECTION OF RUSSIA. A BRIEF HISTORY.

COMMUNIST REVOLUTION

The October 1917 Revolution led by Vladimir Lenin overthrew the monarchy and established the world's first communist state. The USSR was formed in 1922. Josef Stalin took over in 1924 and transformed it into an industrial power. But his regime executed and sent millions into exile.



AP PHOTO/STRI

FALL OF USSR

Inheriting a stagnant economy and social unrest, President Mikhail Gorbachev introduced political and economic reforms (perestroika) and openness (glasnost) apart from transferring power to the Parliament in 1988. But this only triggered the USSR's disintegration. A reactionary coup in 1991 failed and the Russian Federation was formed after 15 republics broke away.



AP

THE YELTSIN MESS

Boris Yeltsin became the first President of the newly-formed Russian Federation. His era saw high corruption, the rise of the mafia and oligarchs who controlled most of the economy. Inflation rode at 36 per cent and the rouble went into a free fall in 1998. Separatists grew in strength and the army was under strain from Chechen rebels.

THE SPY MOVES IN

A little-known former spy Vladimir Putin, who won the March 2000 polls, took over power from Yeltsin. He went about consolidating Central power with a determination that took everyone by surprise. It included taking on big business.



AFP PHOTO

END OF THE OLIGARCHS

Putin began to ruthlessly clamp down on the Oligarchs and made the imprisonment of Mikhail Khodorkovsky, head of the Russian oil giant Yukos, as the prime example. Yukos's major oil holdings were taken over by Gazprom, the public sector oil giant. Businessmen like Boris Berezovsky and Vladimir Gusinsky fled the country.



REUTERS

RISE OF THE SILOVIKI

A new class of Putin loyalists known as siloviki (power guys) consolidated control over the political and economic structure of Russia. They included former KGB colleagues and a new breed of ambitious young politicians.

TERROR STRIKES

Two major terror strikes marred Putin's eight-year term as President. Chechen rebels stormed a Moscow theatre and held 700 hostage. The gunfight with the police saw 42 terrorists and 120 hostages dead. In the second incident in September 2004, Chechen terrorists took 1,300 adults and children hostage at a Beslan school. The battle saw 344 civilians and 31 terrorists dead.



THE OIL BONANZA

With oil prices crossing a record \$110 per barrel, Russia, which is a major global oil supplier, saw its economy boom, resulting in \$400 billion in surplus reserve funds. The economy is now growing at an average rate of 7 per cent and salaries are growing eightfold. Yet infrastructure remains a major bottleneck and Russian companies find it difficult to compete internationally.

